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aiming for higher returns? Experts agree on one point: diversification and discipline are the key. “Investors should spread exposure across issuers, credit ratings, and maturities,” says Devang Shah. “Prioritise quality such as sovereign and AAA-rated instruments and avoid chasing yield blindly.”

Agrawal says laddering (diversification of bond maturity) is an effective way to manage credit and interest rate risk. “By investing in bonds maturing at different times, you ensure steady cash flow while reducing the impact of interest rate changes.” For those seeking guidance, professional fund managers and curated platforms can help construct well diversified, risk-adjusted portfolios.

Can you still earn 10% from fixed income in this market? “Not in a risk-free manner,” says Nagarajan. However, Vineet Agrawal suggests that investors can get close to that mark with smart allocation:

- 40% in AAA-rated bonds (7.5%) for safety
- 40% in AA-rated bonds (10%) for enhanced returns, and
- 20% in A-rated bonds (12%) for yield uplift.

“This mix balances safety and income,” he says. “With regular monitoring and laddering, retirees can generate 9–10% while preserving capital,” he says.

WHAT LIES AHEAD

The outlook for debt mutual funds is optimistic. Falling inflation, controlled fiscal deficit, and improving liquidity could drive yields lower, benefitting long-duration funds. The RBI kept the repo unchanged on October 1, but lowered its inflation outlook, opening up doors for further rate cuts. At the same time, short-term and corporate bond funds remain appealing for those seeking stability. With India’s debt market becoming deeper, more transparent, and digitally accessible, fixed income is finally shedding its image of “boring.”

“Debt funds are no longer just a parking space for idle money,” says Nagarajan. “They are now a key component of a well-balanced portfolio.” For retail investors, the key takeaway is simple, don’t ignore debt. Debt mutual funds can bring stability, diversification, and regular income to your portfolio. Whether you’re a conservative saver or a growth-focused investor, a well-planned allocation to debt can act as a cushion when markets turn volatile. And with India’s bond market maturing fast, this quiet performer may soon become the star of many balanced portfolios. **BT**

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